PURDUE UNIVERSITY | Mitch Daniels School of Business

ECON 251: Microeconomics

Spring 2026 | Lilly Hall of Life Sciences, Room 1105
Section 1: Tue/Thu 7:30–8:45 AM (CRN 14208)
Section 2: Tue/Thu 9:00–10:15 AM (CRN 14209)

Instructor	Dr. Andres J. Vargas

Course Description

Microeconomics studies the choices individuals make and the incentives that influence those choices. Emphasis is on the incentives that determine market prices and resource allocation. The role of public policy in influencing incentives and efficiency is also addressed.

University Core Curriculum Course Objectives

This course is part of the University Core Curriculum, in particular the Human Cultures: Behavioral & Social Sciences Foundational Learning Outcome (BSS-FLO). As such, this course emphasizes the following key skills:

1. Demonstrate knowledge of major concepts, theoretical perspectives, empirical patterns, and/or historical contexts within a given social or behavioral domain.

2. Identify the strengths and weaknesses of contending explanations or interpretations for social, behavioral, or historical phenomena.

3. Demonstrate literacy in social, behavioral, or historical research methods and analyses.

4. Recognize relevant evidence supporting conclusions about the behavior of individuals, groups, institutions, or organizations.

5. Identify examples of how social, behavioral, or historical knowledge informs and can shape personal, civic, ethical, or global decisions and responsibilities.

For more information about the University Core Curriculum, please visit the University Core Curriculum website https://www.purdue.edu/provost/students/s-initiatives/curriculum/outcomes.html.

Course Learning Outcomes

Our primary learning objectives include:

1. Identify the core principles and tools used in economic reasoning, including the definition of economics, positive and normative analysis, and the tools of scientific discovery. (BSS-FLO 1, 3)
2. Apply the market model to describe how the behavior of buyers and sellers determines market outcomes, how interventions in markets affect efficiency, and how markets may fail. (BSS-FLO 1, 4, 6)
3. Define, measure, calculate, and interpret elasticities and their use in firm decision-making and economic policymaking. (BSS-FLO 1, 4, 6)
4. Apply the model of consumer choice to describe optimal behavior by consumers. (BSS-FLO 1).

5. Apply the concept of comparative advantage and market models to describe the potential for gains from trade between agents, including arguments for and against protectionist trade policies between countries. (BSS-FLO 1, 2)
6. Describe the different types of competitive structures that a firm may operate within and optimal firm decision-making in different competitive structures and in the presence of strategic interactions. (BSS-FLO 1, 4, 6)

A detailed list of learning objectives by chapter is available on Brightspace.

Course Materials

Textbook & Homework Platform

Asarta and Butters, Principles of Economics, Connect Inclusive Access Master Principles of Economics 1-Semester Online Access (2025 Release, 1-Semester). Access is required for all homework assignments.

You have three options for purchasing access:

1. Purchase directly from the publisher via the Connect link in Brightspace (~$90 + tax) — typically the lowest price.
2. Purchase an access card from the Purdue Bookstore.
3. Purchase an access card plus a loose-leaf textbook from the Purdue Bookstore.

Technology

- Brightspace (LMS): All course materials, grades, announcements, and assignments are posted here. Begin with the Start Here tab.
- iClicker Cloud: Required for in-class participation. Use a laptop, tablet, or smartphone with the iClicker app installed. Location services must be enabled.
- Zoom: Used for virtual office hours. Links are provided in Brightspace.
- Connect (McGraw-Hill): Used for all chapter homework. Access via the link in Brightspace.
- Perusall: Required only if you choose the Virtual Book Club CBL option (~$23 total cost including the e-book).

Grading

Your grade is determined by three exams and your Choice-Based Learning (CBL) activities. The weight of each component depends on how many CBL points you earn, the more CBL points you complete, the less weight each exam carries.

Assessment	Lower Bound		Upper Bound	
	Percentage	Points	Percentage	Points
Exam 1	30%	150	20%	100
Exam 2	30%	150	20%	100
Exam 3	30%	150	20%	100
CBL Activities	10%	50	40%	200
Total	100%	500	100%	500

All students must earn a minimum of 50 CBL points (Lower Bound). Students may earn up to 200 CBL points (Upper Bound). See the CBL Addendum for full details on each option.

Grading Scale

In this course, your final grade reflects your cumulative performance throughout the semester. You will earn points across the various assessments described above. At the end of the semester, your total points will be added and converted into a letter grade based on the grading scale outlined below.

A Range	B Range	C Range	D Range	F Range
A: 93%+	B+: 87–89.9%	C+: 77–79.9%	D+: 67–69.9%	F: Below 60%
A−: 90–92.9%	B: 83–86.9%	C: 73–76.9%	D: 63–66.9%	
	B−: 80–82.9%	C−: 70–72.9%	D−: 60–62.9%	

Grades are not rounded. A final score of $89.9\overline{9}\%$ is a B+; a score of 90.0% or higher is an A.

Grade Appeals

All grades are posted in Brightspace. If you believe a grading error was made, **you may submit a written appeal within seven (7) days of when the grade was returned**. Appeals should reference specific course materials and explain the basis for your original response. Re-graded work may be adjusted upward or downward in the interest of consistency.

Exams

There are three non-cumulative exams, each consisting of multiple-choice and short-answer questions. Exams are taken during your regularly scheduled class period.

Exam	Date	Day
Exam 1	February 17	Tuesday
Exam 2	March 26	Thursday
Exam 3	April 30	Thursday

Exam Day Requirements

- Bring your Purdue student ID or driver's license, a pen or pencil, and a non-graphing calculator (optional).
- Seats are assigned on exam days.
- Hats, headphones, and smartwatches are not permitted during exams.
- Arrive on time. Students who arrive more than 15 minutes after the exam begins will not be permitted to take it.
- Speaking to anyone other than the instructor or a TA during an exam constitutes academic misconduct.

Makeup Exams

You must email the instructor in advance of the exam start time (i.e. when class begins) to tell us you will be missing the exam. Makeup examinations are given at the discretion of the instructor and only in cases where there is a documented excuse beyond your reasonable control:

- **Illness:** You must contact the instructor before the exam to indicate you are not able to take it as scheduled. If your absence involves hospitalization, an emergency department visit, or urgent care, please also contact the Office of the Dean of Students (ODOS) so that an official notice can be sent to the instructor.
- **Death or serious illness in your immediate family:** Contact the Dean of Students to confirm the family emergency.
- **Significant scheduling conflict:** Job interviews, jury duty, military service, parenting leave, or official Purdue travel. You must notify the instructor before the missed exam so that an alternate time can be arranged.

For anticipated conflicts, including University-sponsored activities and religious observances, notify the instructor as far in advance as possible. For unanticipated emergencies, contact the instructor as soon as you are able. If you cannot reach the instructor directly, contact the Office of the Dean of Students at 765-494-1747. Attendance and Grief Absence policies are linked in Brightspace under University Policies.

No exam will be made up after it has been graded and returned to the class.

Students with disability accommodations for testing should schedule their exam with Purdue Testing Services at least 96 hours (4 days) in advance via the RegisterBlast link in Brightspace.

Choice-Based Learning (CBL)

This course uses a Choice-Based Learning (CBL) structure. Beyond the required exams, you have flexibility in how you demonstrate mastery of course material. All students must earn a minimum of 50 CBL points; you may earn up to 200 points total.

The more CBL points you earn, the less weight your exams carry in the final grade. CBL flexibility applies to how you demonstrate learning, not to deadlines, effort, or professionalism.

Full details for each option are in the CBL Addendum (available on Brightspace). Brief descriptions of each option are below.

CBL Option 1: In-Class Participation (Up to 50 Points)

Participation is tracked using iClicker Cloud. Each class session is worth 5 points, earned by correctly answering all iClicker questions that day. You must attend your enrolled section with location services enabled. Missed sessions cannot be made up. You can miss approximately 4 classes and still reach the 50-point maximum.

CBL Option 2: Chapter Homework (Up to 50 Points)

Complete the online homework for each chapter in *McGraw Hill Connect*. Two attempts are allowed per question; the higher score is recorded. Late work is not accepted.

CBL Option 3: Virtual Book Club (Up to 50 Points)

Participate in an asynchronous online book club using Perusall to annotate and discuss Misbehaving: The Making of Behavioral Economics by Richard Thaler. Additional cost applies (~$23 for Perusall access and the e-book). Late work is not accepted.

CBL Option 4: Review Workshops (Up to 100 Points)

Attend weekly TA-led sessions to work through practice problems in small groups. Each session is worth up to 10 points; your best 10 of 11 sessions count. Workshops are held in KRAN. See the CBL Addendum for the full schedule, grading rubric, and session policies.

Note on Banked CBL Points

CBL points earned before February 19 from homework, the Virtual Book Club, or Review Workshops will be applied to those respective categories. CBL points earned before February 19 that fall outside those three categories will be applied to your overall CBL total. All CBL points remain subject to the 200-point semester cap.

Getting Help

We strongly encourage you to seek help as questions arise — do not wait until the night before an exam or deadline. Difficulties that go unaddressed early in the semester tend to compound over time.

- **Office Hours:** Dr. Vargas holds office hours Tuesday and Thursday, 1:00–2:00 PM, YONG 1043. One-on-one appointments are also available by request. TA and UTA office hours are listed in the Teaching Team section above.
- **Brightspace Discussion Board:** Use this for general questions about course content, logistics, and assignments. Check here first before emailing — your question may already be answered.
- **Email:** Use email for personal matters or to schedule a one-on-one meeting with the instructor.
- **Supplemental Instruction (SI):** Free, peer-led study sessions run by the Academic Success Center. Sessions are Mondays and Wednesdays, 5:30–6:20 PM, WALC 3138. No sign-up required.
- **Review Workshops:** Sign up through Brightspace to participate as part of your CBL options.

Course Calendar

Topics listed below indicate the chapter or theme to be introduced on that date. Please complete the assigned reading before coming to class.

Date	Day	Topic / Event
Jan 13	T	Introduction to the Course
Jan 15	R	Fundamentals
Jan 20	T	Fundamentals
Jan 22	R	Fundamentals
Jan 27	T	Supply
Jan 29	R	Demand
Feb 3	T	Market Equilibrium & Policy
Feb 5	R	Market Equilibrium & Policy
Feb 10	T	Market Efficiency
Feb 12	R	Market Efficiency
Feb 17	T	**EXAM 1**

Feb 19	R	Review of Syllabus Changes
Feb 24	T	Production
Feb 26	R	Production / Introduction to Perfect Competition
Mar 3	T	Perfect Competition
Mar 5	R	Pure Monopoly
Mar 10	T	Monopolistic Competition & Oligopoly
Mar 12	R	Monopolistic Competition & Oligopoly
Mar 17	T	SPRING BREAK – No Class
Mar 19	R	SPRING BREAK – No Class
Mar 24	T	Catch-up & Review for Exam 2
Mar 26	R	**EXAM 2**
Mar 31	T	Elasticity
Apr 2	R	Elasticity
Apr 7	T	Market Failures
Apr 9	R	Market Failures
Apr 14	T	Consumer Choice
Apr 16	R	Consumer Choice
Apr 21	T	International Trade
Apr 23	R	International Trade
Apr 28	T	Catch-up & Review for Exam 3
Apr 30	R	**EXAM 3**

Course Policies

Civility in the Classroom

Students are expected to foster a respectful and productive classroom environment that supports the learning of all participants. To ensure that everyone has the opportunity to engage fully in the educational experience, *students should refrain from behaviors that may disrupt the flow of the class or distract others*. Prohibited behaviors include, but are not limited to, browsing the internet, watching videos, speaking out of turn, engaging in side conversations during instruction, excessive chatter, or making loud noises.

Please arrive on time to class and stay for the entire class period. Late arrivals and early departures are disruptive. If despite your best effort you arrive late, please quietly take a seat at the back of the classroom. Similarly, in the rare event that you must leave class early talk to me before the class starts to let me know, then sit close to the rear door and leave as unobtrusively as possible. If you can't be there on time or must always leave early because of a class or work conflict, either seek specific permission from me or do not take the class. During exams, ask permission before leaving to use the restroom. Try to use the restroom before coming to class.

Violent Behavior Policy

Purdue University is committed to providing a safe and secure campus environment for members of the university community. Purdue strives to create an educational environment for students and a work environment for employees that promote educational and career goals. Violent Behavior impedes such goals. Therefore, Violent Behavior is prohibited in or on any University Facility or while participating in any university activity.

Academic Guidance in the Event Extended Health Issues

If you find yourself being too sick to be able to continue progressing in the course, you will need to notify your advisor and me, the instructor, as soon as possible by email. We will make arrangements based on your particular situation. Students who experience any type of extended health issue would benefit from engagement with the Academic Success Center.

Academic Integrity and Dishonesty

Academic integrity is one of the highest values that Purdue University holds. All students are expected to follow the policies of Purdue University as outlined in the guide for academic integrity. See the Statement of Integrity and Code of Conduct at https://www.purdue.edu/purdue/about/integrity_statement.php

Cheating and plagiarism will not be tolerated. Incidents of academic misconduct in this course will be addressed by the course instructor and referred to the Office of Student Rights and Responsibilities (OSRR) for review at the university level. **Any violation of course policies as it relates to academic integrity will result minimally in a failing or zero grade for that particular assignment or test, and at the instructor's discretion may result in a failing grade for the course.** In addition, all incidents of academic misconduct will be forwarded to OSRR, where university penalties, including removal from the university, may be considered.

Purdue prohibits "dishonesty in connection with any University activity. Cheating, plagiarism, or knowingly furnishing false information to the University are examples of dishonesty." [Part 5, Section III-B-2-a, University Regulations] Furthermore, the University Senate has stipulated that "the commitment of acts of cheating, lying, and deceit in any of their diverse forms (such as the use of substitutes for taking examinations, the use of illegal cribs, plagiarism, and copying during examinations) is dishonest and must not be tolerated. Moreover, knowingly to aid and abet, directly or indirectly, other parties in committing dishonest acts is in itself dishonest." [University Senate Document 72-18, December 15, 1972]. Individuals are encouraged to alert university officials to potential breeches of academic integrity by either emailing integrity@purdue.edu or by calling 765-494-8778. While information may be submitted anonymously, the more information that is submitted provides the greatest opportunity for the university to investigate the concern. More details are available on our course Brightspace table of contents, under University Policies.

General Guidelines for AI Tool Usage

This course is committed to leveraging the latest technological advancements, including Artificial Intelligence (AI), to enhance the educational experience. However, it is crucial to use these tools in a way that supports learning objectives without compromising academic integrity and the development of individual analytical skills. AI-generated content, particularly from Large Language Models like ChatGPT, is not permitted for use in any written assignments and exams. This policy ensures the preservation of academic integrity and the authenticity of student work. Students are encouraged to

approach AI as a supplementary tool that enhances, rather than replaces, their critical thinking and analytical skills.

Use of Copyrighted Materials

According to University regulations, lectures, notes, exams, and other material presented in class or as part of the course are protected by copyright. Students enrolled in the course are permitted to take notes, which they may use for individual/group study or for other non-commercial purposes reasonably arising from enrollment in the course. However, *no individual is permitted to sell or otherwise barter notes homework assignments, or exams, either to other students or to any commercial concern*, for a course without the express written permission of the course instructor.

Students with Disabilities

Purdue University strives to make learning experiences as accessible as possible. I would like to hear from anyone who has a disability that may require some modification of the seating, testing, or other class requirements so that appropriate arrangements may be made. If you anticipate or experience physical or academic barriers based on disability, you are welcome to let me know so that we can discuss options. You are also encouraged to contact the Disability Resource Center at: drc@purdue.edu or by phone: 765-494-1247. More details are available on our course Brightspace under Accessibility Information.

Students eligible for accommodated testing are expected to schedule their accommodated exam with **Purdue Testing Services** https://www.purdue.edu/studentsuccess/testing-services/index.html. To schedule your accommodated exam, click the RegisterBlast link within the Brightspace page for the course. **Note that to schedule your exam with Purdue Testing Services, you must schedule your exam at least 96-hours (4-days) in advance**.

Religious, Ethnic, and Civic Observances

Holidays or days of religious observance sometimes conflict with class and examination schedules. Students that miss course work due to the observance of a religious holiday will be given the opportunity to complete the work missed within a reasonable time after the absence. Notification must be made in writing and delivered to the instructor no later than the 15th class day of the semester.

Emergencies

In the event of a major campus emergency, course requirements, deadlines and grading percentages are subject to changes that may be necessitated by a revised semester calendar or other circumstances beyond the instructor's control. Relevant changes to this course will be posted onto the course website or can be obtained by contacting the instructors or TAs via email or phone. You are expected to read your @purdue.edu email on a frequent basis.

Nondiscrimination

Purdue University is committed to maintaining a community which recognizes and values the inherent worth and dignity of every person; fosters tolerance, sensitivity, understanding, and mutual respect among its members; and encourages each individual to strive to reach his or her own potential. The University believes that intellectual and cultural diversity among its many members strengthens the institution, stimulates creativity, promotes the exchange of ideas, and enriches campus life.

Purdue University views, evaluates, and treats all persons in any University related activity or circumstance in which they may be involved, solely as individuals on the basis of their own personal abilities, qualifications, and other relevant characteristics.

Purdue University prohibits discrimination against any member of the University community on the basis of race, religion, color, sex, age, national origin or ancestry, genetic information, marital status, parental status, sexual orientation, gender identity and expression, disability, or status as a veteran. The University will conduct its programs, services and activities consistent with applicable federal, state and local laws, regulations and orders and in conformance with the procedures and limitations as set forth in Purdue's Equal Opportunity and Equal Access policy which provides specific contractual rights and remedies.

A hyperlink to Purdue's full Nondiscrimination Policy Statement is included in our course Brightspace under University Policies

Counseling Services

Purdue University is committed to advancing the mental health and well-being of its students.

If you find yourself beginning to feel some stress, anxiety and/or feeling slightly overwhelmed, try WellTrack**.** Sign in and find information and tools at your fingertips, available to you at any time.

If you need support and information about options and resources, please contact or see the Office of the Dean of Students. Call 765-494-1747. Hours of operation are M-F, 8 am- 5 pm.

If you find yourself struggling to find a healthy balance between academics, social life, stress, etc. sign up for free one-on-one virtual or in-person sessions with a Purdue Wellness Coach at RecWell. Student coaches can help you navigate through barriers and challenges toward your goals throughout the semester. Sign up is completely free and can be done on BoilerConnect. If you have any questions, please contact Purdue Wellness at evans240@purdue.edu.

If you're struggling and need mental health services: Purdue University is committed to advancing the mental health and well-being of its students. If you or someone you know is feeling overwhelmed, depressed, and/or in need of mental health support, services are available. For help, such individuals should contact Counseling and Psychological Services (CAPS) at 765-494-6995 during and after hours, on weekends and holidays, or by going to the CAPS office on the second floor of the Purdue University Student Health Center (PUSH) during business hours.